

Bronx Filing Shows Development Is Alive Where Land and Debt Still Pencil

A 168-unit rental filing in University Heights reveals where construction capital is still willing to go.

The most important number in the permit filing for 78 West 180th Street is not 168 units or 109,718 square feet. It is the location: University Heights, The Bronx, a block from the 4 train. This is where development capital is still willing to go in 2026. Not Manhattan. Not the Brooklyn waterfront. Not Long Island City.

The math works in the outer-borough transit corridor because land is cheaper, rents are lower but growing, and the underwriting does not require luxury pricing to clear. Yitzi Salamon, the owner behind the applications, is filing for a 13-story, 123-foot concrete structure with 168 rental units averaging 653 square feet.

That unit size points to studio and one-bedroom layouts, likely targeting the rental demand from students, young professionals, and households priced out of core Manhattan and Brooklyn. The 18 parking spaces suggest a nod to car ownership, but the real amenity is the Burnside Avenue subway station two blocks away. The architect is Nikolai Katz. Demolition permits have not been filed. No completion date is set.

The project is still in the permission phase, not the capital commitment phase. But the filing itself is a signal worth reading. Development financing in New York City has narrowed to a specific set of conditions: a sponsor with a track record, a site with transit access, a rental program that does not depend on peak-market rents, and a total cost basis that leaves room for construction delays and interest rate carry.

University Heights checks those boxes. A 13-story concrete building on a side street near the 4 train is not a trophy. It is a formula. The capital behind this project is not coming from a regional bank syndicating a construction loan. It is coming from a sponsor who can self-fund or access private debt at a price that still pencils.

The filing says the owner is Salamon, not a publicly traded developer or a REIT. That matters. Private sponsors with balance sheet flexibility are the ones still filing permits because they are not forced to meet public market return thresholds or bank underwriting committees that demand 2.0x debt service coverage on day one. Who benefits? The Bronx rental market, which needs supply. The city's construction workforce, which needs projects.

And the sponsor, who is betting that the spread between construction cost and stabilized value will be wide enough to justify the risk. Who is exposed? Any lender or equity partner who underwrites the project on today's rent projections without a cushion for operating cost inflation, property tax increases, or a slower lease-up.

The 653-square-foot average unit is efficient, but it also means the project depends on per-square-foot rents that must grow to cover the capital stack.

What should the market watch next? The demolition permit. That is the real capital commitment. Until the old building comes down, this is a land option with an architect's stamp. Once the wrecking ball arrives, the sponsor has decided the financing is real and the timing is right.

This filing is not proof that New York City development is back. It is proof that development is still possible where the basis is low enough and the demand is real enough. University Heights is not a boom market. It is a math market. And in 2026, math markets are the only ones getting built.

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